BREAKOUT CONSOLIDATION STRATEGY

Breakout Consolidation Strategy

Long-term defensive · Low drawdown · Lose small, win big

Backtest window 2021-07-05 → 2026-05-22 · 4.88 years · Bybit USDT spot, daily, long-only · net of all trading costs

FIVE YEARS ON BYBIT USDT SPOT

$100,000 → $205,983

+106.0% over 4.88 years. Captured 85% of BTC's return at one-quarter the drawdown.

FIVE-YEAR PERFORMANCE — STRATEGY vs BTC BUY-HOLD

Strategy total return **+106.0%**	BTC buy-hold return **+124.1%**	CAGR **+15.96%**
Strategy max drawdown **−18.3%**	BTC max drawdown **−76.6%**	Profit factor **2.31**
Trades **148**	Win rate **46.0%**	Sharpe **0.70**

Past performance is not indicative of future results. All figures net of modeled trading costs (25bps slippage + 10bps fees). Position sizing: 1% of equity at risk per trade.

WHY NOW

The strategy's sweet spot is forming

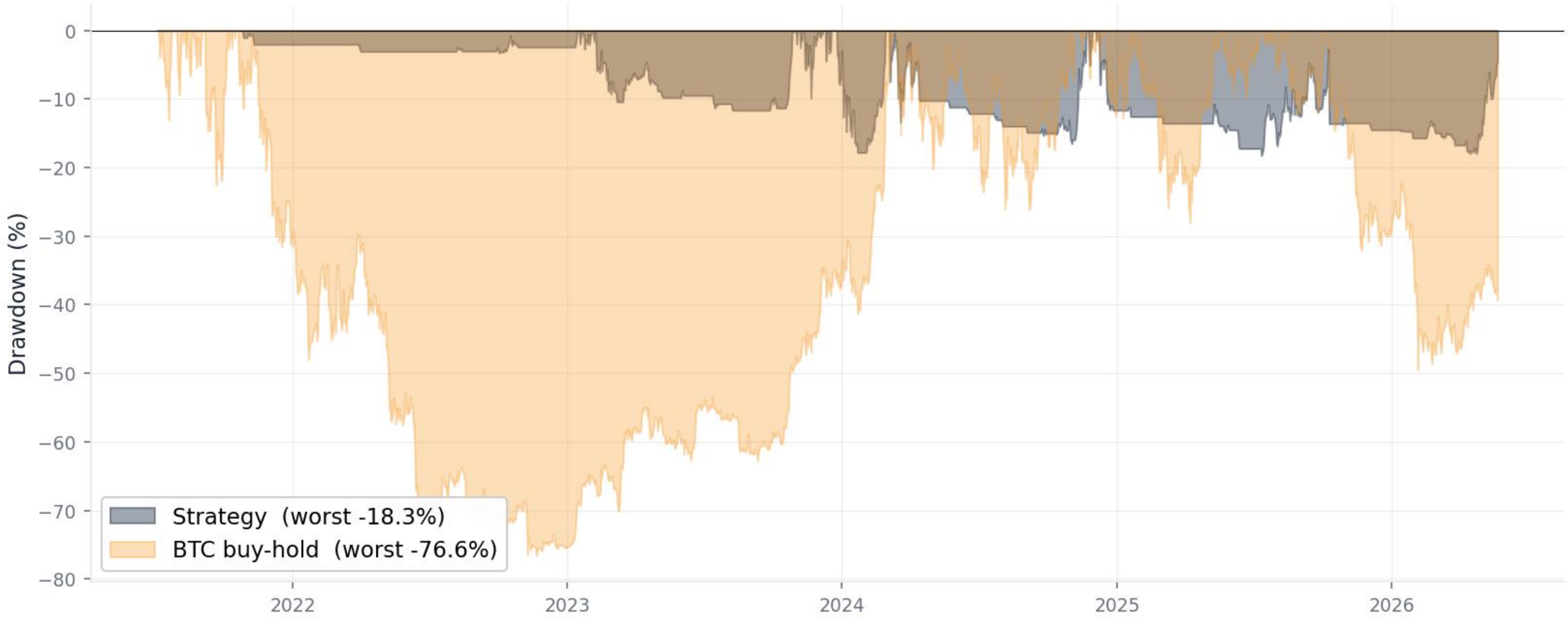
Bear-market consolidations are the fuel for the next wave of breakouts. The strategy is positioned to catch them — by design.

Period	Strategy	BTC	What happened
2022 — deep bear	−0.40%	−65.3%	Stayed flat while crypto crashed. Preserved capital.
2023 — recovery	+71.78%	+154.5%	Captured the rally as new boxes broke out.
Last 12 months	+10.78%	−32.4%	BTC bleeding; strategy already capturing early movers.

We're entering similar conditions to late 2022. Crypto is in a 12-month drawdown. Many coins are forming bases that will break out before the broad market turns. The strategy is preloaded for that moment.

THE DRAWDOWN STORY

Crypto exposure without crypto's downside



Five years. Strategy's worst drawdown −18.3%. BTC buy-hold's worst −76.6%. Retail BTC holders rarely survive a 77% drawdown — they panic-sell at −40% and never recover. This is the difference between 'crypto strategy' and 'crypto gambling'.

YEAR-BY-YEAR TRACK RECORD

Five years of crypto. Four very different regimes.

Year	Return	Max DD	Notes
2021	**-2.05%**	**-2.05%**	Late-cycle bull, half year only
2022	**-0.40%**	**-1.71%**	Brutal crypto bear (BTC −65%). Strategy held flat. Capital preserved.
2023	**+71.78%**	**-11.66%**	The recovery year. Boxes broke out everywhere. Big winners.
2024	**+9.23%**	**-16.52%**	Choppy plateau. Modest positive.
2025	**-3.23%**	**-12.13%**	Sideways year. Slight drawdown.
2026	**+11.54%**	**-5.54%**	5 months · breakouts re-emerging.

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FULL EQUITY CURVE

$100,000 → $206k over 4.9 years

Same logic for 4.9 years across a full crypto cycle. CAGR 15.96%, max drawdown -18.3%, profit factor 2.31. Notice the flat stretch through 2022's bear — that's the defensive layer doing its job.

HOW IT WORKS

Four steps · daily · fully automated

1 Scan

Daily, rank top 500 USDT pairs by 30-day volume. Drop stablecoins, wrapped & leveraged tokens.

2 Detect

Find tight consolidation 'boxes' within 45% of the 52-week high. Composite quality score ≥ 0.50 across 8 features.

3 Enter & size

Buy the breakout above the box. Position size = 1% equity risk ÷ (entry − stop). Stop = tighter of 1.5×ATR or box-bottom.

4 Manage

+1R or 5 bars → take ⅓, stop to breakeven. New box forms above entry → pyramid. 20-day MA break → exit.

RISK MANAGEMENT

The defense IS the edge

Equal-risk sizing	Every trade risks the same 1% of equity. Five losses in a row = ~5% down, regardless of which coins.
Exchange-resting stops	Every position has a real stop-loss order sitting on the exchange — protects 24/7 even if the bot is offline.
Drawdown throttle	−15% portfolio DD → half risk. −25% → quarter. −30% → stop trading. De-risks automatically.
Daily-bar timeframe	Daily decisions, not intra-day churn. Fewer trades, cleaner setups, lower fee/slippage drag.

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STATED PLAINLY

What can go wrong

Regime dependence

Most of the 5y return came in ~6 months of 2023-24. Long flats are normal. Don't expect smooth quarter-over-quarter.

Microcap fills

Some winners are sub-penny coins. Real-world slippage may exceed the 25bps modeled.

Moderate sample

148 trades over 5 years — suggestive, not proven. Forward results will vary.

Live infrastructure

Currently paper-trading on Hyperliquid with all safety rails. Production deployment is the next milestone.

STATUS & ASK

Live on paper · ready to scale

Paper trading	Daily automated runs on Bybit USDT spot. Self-updating dashboard. New trades and exits appear with zero manual input.
Hyperliquid live	Connectivity tested with real wallet (limit order placed + cancelled). Awaiting capital scale-up for first auto-executed trade.
Edge philosophy	Lose small, win big. Multiple small losses cap the downside; a few large winners drive returns. Defensive-by-construction.

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